

DIAMOND TRUST BANK KENYA LIMITED
AUDITED GROUP AND BANK RESULTS FOR THE YEAR ENDED 31 DECEMBER 2013

	GROUP		BANK	
	Dec. 2013	Dec. 2012	Dec. 2013	Dec. 2012
	Shs 000	Shs 000	Shs 000	Shs 000
	Audited	Audited	Audited	Audited
STATEMENT OF FINANCIAL POSITION				
ASSETS				
Cash (both local and foreign)	3,660,226	2,614,455	2,291,210	1,671,539
Balances due from Central Banks	9,048,533	8,894,406	5,381,057	3,676,771
Kenya Government and other securities held for dealing purposes	-	-	-	-
Investment Securities:				
(a) Held to Maturity:				
a. Kenya Government securities	17,832,375	18,402,894	17,832,375	18,402,894
b. Other securities	7,613,449	4,341,616	-	-
(b) At Fair Value:				
a. Kenya Government securities	-	-	-	-
b. Other securities	-	64,391	-	64,391
Deposits and balances due from local banking institutions	3,119,495	3,842,366	3,119,495	3,842,366
Deposits and balances due from banking institutions abroad	5,666,537	3,880,386	1,000,618	562,310
Income tax recoverable	176,519	7,432	137,257	-
Loans and advances to customers (net)	110,945,439	87,707,243	75,292,211	59,930,459
Balances due from group companies	-	-	384,072	431,118
Investments in associate	9,983	5,938	1	1
Investment in subsidiary companies	-	-	2,295,253	1,897,571
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	4,879,246	2,770,067	3,683,783	1,785,430
Prepaid lease rentals	-	-	-	-
Intangible assets	560,351	214,405	377,522	178,389
Goodwill	173,372	173,372	-	-
Deferred tax asset	1,130,919	672,958	983,626	542,542
Retirement benefit asset	-	-	-	-
Other assets	1,703,907	1,869,483	1,357,949	1,526,037
Total Assets	166,520,351	135,461,412	114,136,429	94,511,818
LIABILITIES				
Balances due to Central Bank of Kenya	-	-	-	-
Customer deposits	128,788,398	106,975,254	84,671,817	72,505,118
Deposits and balances due to local banking institutions	1,847,806	486,132	1,847,806	486,132
Deposits and balances due to banking institutions abroad	2,870,506	2,241,172	1,886,906	516,262
Other money market deposits	-	-	-	-
Borrowed funds	5,760,214	3,807,801	4,861,910	3,746,320
Balances due to group companies	-	-	-	-
Tax Payable	12,143	456,716	-	443,795
Dividends payable	-	-	-	-
Deferred income tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	3,496,980	2,867,416	2,299,713	1,935,699
Total Liabilities	142,776,047	116,834,491	95,568,152	79,633,326
SHAREHOLDERS' EQUITY				
Paid up capital	880,400	880,400	880,400	880,400
Share premium	3,856,898	3,856,898	3,856,898	3,856,898
Revaluation reserve	273,758	238,991	373,194	378,081
Retained earnings	15,477,589	11,012,392	12,995,575	9,229,632
Statutory loan loss reserve	-	115,291	-	115,291
Proposed dividends	462,210	418,190	462,210	418,190
Capital grants	-	-	-	-
Total Shareholders' Equity	20,950,855	16,522,162	18,568,277	14,878,492
Non controlling interests	2,793,449	2,104,759	-	-
Total Equity	23,744,304	18,626,921	18,568,277	14,878,492
Total Liabilities and Shareholders' Equity	166,520,351	135,461,412	114,136,429	94,511,818

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2013**

INTEREST INCOME

Loans and advances	14,154,675	13,783,269
Government securities	2,374,025	2,319,756
Deposits and placements with banking institutions	650,361	475,989
Other interest income	-	-

Total interest income

INTEREST EXPENSES

Customer deposits	5,771,402	7,166,937
Deposits and placements from banking institutions	258,368	165,691
Other interest expenses	146,653	121,295

Total interest expenses

NET INTEREST INCOME

OTHER OPERATING INCOME

Fees and commissions on loans and advances	756,818	631,462
Other fees and commissions income	1,276,250	1,160,497
Foreign exchange trading income	1,223,278	1,186,297
Dividend income	3,755	2,805
Other income	117,653	134,193

Total Non-Interest Income

TOTAL OPERATING INCOME

OPERATING EXPENSES

Loan loss provision	926,574	1,025,909
Staff costs	2,820,117	2,288,953
Directors' emoluments	82,115	60,657
Rentals charges	453,121	378,138
Depreciation charge on property and equipment	476,783	420,616
Amortisation charges	137,888	121,310
Other operating expenses	2,252,754	1,919,012

Total operating expenses

Profit before tax and exceptional items

Exceptional items

Profit after exceptional items

Share of associate profit after tax

Profit before tax

Current tax

Deferred tax credit

Profit after tax and exceptional items

GROUP		BANK	
Dec. 2013 Shs 000 Audited	Dec. 2012 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2012 Shs 000 Audited
14,154,675	13,783,269	9,975,556	10,374,522
2,374,025	2,319,756	2,053,099	2,062,918
650,361	475,989	95,780	244,575
-	-	-	-
17,179,061	16,579,014	12,124,435	12,682,015
5,771,402	7,166,937	3,966,134	5,727,639
258,368	165,691	165,569	87,906
146,653	121,295	144,416	119,183
6,176,423	7,453,923	4,276,119	5,934,728
11,002,638	9,125,091	7,848,316	6,747,287
756,818	631,462	466,439	379,235
1,276,250	1,160,497	644,947	606,485
1,223,278	1,186,297	796,330	810,445
3,755	2,805	32,265	18,996
117,653	134,193	53,383	90,634
3,377,754	3,115,254	1,993,364	1,905,795
14,380,392	12,240,345	9,841,680	8,653,082
926,574	1,025,909	601,987	920,819
2,820,117	2,288,953	1,576,750	1,413,849
82,115	60,657	39,368	31,073
453,121	378,138	255,361	209,957
476,783	420,616	256,182	217,188
137,888	121,310	111,915	91,258
2,252,754	1,919,012	1,433,721	1,099,275
7,149,353	6,214,595	4,275,284	3,983,419
7,231,039	6,025,750	5,566,396	4,669,663
-	-	-	-
7,231,039	6,025,750	5,566,396	4,669,663
3,964	2,149	-	-
7,235,003	6,027,899	5,566,396	4,669,663
(2,462,210)	(2,187,851)	(1,949,583)	(1,743,232)
457,961	227,930	441,084	142,262
5,230,754	4,067,978	4,057,897	3,068,693

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2013**

	GROUP		BANK	
	Dec. 2013 Shs 000 Audited	Dec. 2012 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2012 Shs 000 Audited
Other comprehensive income				
Gains from translating the financial statements of foreign operations	266,021	86,047	-	-
Fair value changes in equity investment	43,988	18,936	43,988	18,936
Revaluation surplus on property and equipment	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-
Income tax relating to components of other comprehensive income	-	-	-	-
Other comprehensive income for the year net of tax	310,009	104,983	43,988	18,936
Total comprehensive income for the year	5,540,763	4,172,961	4,101,885	3,087,629
Earnings per Share (Shs per share) - basic and diluted	21.61	17.44	18.44	14.75
Dividend per Share (Shs per share)	2.10	1.90	2.10	1.90

ANNUAL GENERAL MEETING AND DECLARATION OF DIVIDEND

Based on the year- end results achieved, the Directors will recommend to the Shareholders at the Annual General Meeting to be held at the Kenyatta International Convention Centre, Aberdares Hall, Nairobi, on 15 May 2014, payment of a first and final dividend of 52.5% (i.e. at the rate of Shs 2.10 per share) for 2013 on the issued and paid-up share capital of Shs 880 million subject to withholding tax, where applicable.

For purposes of payment of the dividend, the Share Register of the Bank will be closed from 15 May 2014 to 16 May 2014 both dates inclusive and payment of dividend due to Shareholders on the Register as at the close of business on 15 May 2014, will be made on or about 12 June 2014.

By order of the Board

Stephen Kodumbe
Company Secretary

3 March 2014

OTHER DISCLOSURES

OTHER DISCLOSURES	GROUP		BANK	
	Dec. 2013 Shs 000 Audited	Dec. 2012 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2012 Shs 000 Audited
(1) NON -PERFORMING LOANS AND ADVANCES				
(a) Gross non-performing loans and advances	1,325,491	1,044,299	1,057,001	874,141
Less				
(b) Interest in suspense	114,664	87,245	84,978	64,195
(c) Total Non-Performing Loans and Advances (a-b) Less	1,210,827	957,054	972,023	809,946
(d) Loan loss provisions	1,192,393	887,294	972,023	809,946
(e) Net Non-Performing Loans (c-d)	18,434	69,760	-	-
(f) Discounted Value of Securities	29,756	69,760	-	-
(g) Net NPLs Exposure (e-f)	(11,322)	-	-	-
(2) Insider Loans and Advances				
(a) Directors, shareholders and associates	2,758,085	2,220,379	2,322,835	1,906,868
(b) Employees	474,235	439,477	358,234	341,001
(c) Total Insider Loans and Advances	3,232,320	2,659,856	2,681,069	2,247,869
(3) Off-Balance Sheet Items				
(a) Letters of credit, guarantees, acceptances	11,475,987	9,631,135	9,889,379	8,464,688
(b) Forwards, swaps, and options	15,358,955	18,634,845	12,221,608	16,300,272
(c) Other contingent liabilities	-	-	-	-
(d) Total Contingent Liabilities	26,834,942	28,265,980	22,110,987	24,764,960
(4) Capital Strength				
(a) Core Capital			15,044,803	12,029,483
(b) Minimum Statutory Capital			1,000,000	1,000,000
(c) Excess/(Deficiency)			14,044,803	11,029,483
(d) Supplementary capital			2,975,917	1,481,221
(e) Total capital (a+d)			18,020,720	13,510,704
(f) Total risk weighted assets			87,816,864	68,104,177
(g) Core capital/total deposit liabilities			18.3%	16.4%
(h) Minimum Statutory Ratio			8.0%	8.0%
(i) Excess/(Deficiency) (g-h)			10.3%	8.4%
(j) Core capital/total risk weighted assets			17.1%	17.7%
(k) Minimum Statutory Ratio			8.0%	8.0%
(l) Excess/(Deficiency) (j-k)			9.1%	9.7%
(m) Total capital/total risk weighted assets			20.5%	19.8%
(n) Minimum Statutory Ratio			12.0%	12.0%
(o) Excess/(Deficiency) (m-n)			8.5%	7.8%
(5) Liquidity				
(a) Liquidity Ratio			32.6%	38.0%
(b) Minimum Statutory Ratio			20.0%	20.0%
(c) Excess/(Deficiency) (a-b)			12.6%	18.0%

MESSAGE FROM DIRECTORS

The above balance sheet and profit and loss account are extracts from the Group's and Bank's financial statements which have been audited by PricewaterhouseCoopers and have received an unqualified opinion.

A full set of financial statements will be available from our offices once they are approved by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 3 March 2014, and were signed on its behalf by:

Abdul Samji
Nasim Devji
Amin Merali
Stephen Kodumbe

Chairman
Managing Director
Director
Company Secretary

**Consolidated statement of changes in equity
for the year ended 31 December 2012**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
At start of year	782,578	2,197,735	368,471	115,291	7,796,631	332,596	11,593,302	1,655,517	13,248,819
Profit for the year	-	-	-	-	3,627,766	-	3,627,766	440,212	4,067,978
Other comprehensive income	-	-	(41,769)	-	-	-	(41,769)	146,752	104,983
Transfer of excess depreciation	-	-	(8,836)	-	8,836	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,651	-	(2,651)	-	-	-	-
Total comprehensive income	-	-	(47,954)	-	3,633,951	-	3,585,997	586,964	4,172,961
Rights issue	97,822	1,659,163	-	-	-	-	1,756,985	-	1,756,985
Issue of additional shares to non controlling interests	-	-	-	-	-	-	-	48,428	48,428
Acquisition of interests from non controlling interests in Diamond Trust Bank Tanzania Limited.	-	-	(81,526)	-	-	-	(81,526)	(171,132)	(252,658)
Dividends:									
- Final for 2011 paid	-	-	-	-	-	(332,596)	(332,596)	(15,018)	(347,614)
- Proposed for 2012	-	-	-	-	(418,190)	418,190	-	-	-
Total transactions with owners, recognised directly in equity	97,822	1,659,163	(81,526)	-	(418,190)	85,594	1,342,863	(137,722)	1,205,141
At end of year	880,400	3,856,898	238,991	115,291	11,012,392	418,190	16,522,162	2,104,759	18,626,921

**Consolidated statement of changes in equity
for the year ended 31 December 2013**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
At start of year	880,400	3,856,898	238,991	115,291	11,012,392	418,190	16,522,162	2,104,759	18,626,921
Profit for the year	-	-	-	-	4,756,635	-	4,756,635	474,119	5,230,754
Other comprehensive income	-	-	145,372	-	-	-	145,372	164,637	310,009
Transfer of fair value gain to retained earnings on disposal of equity investments			(44,627)		44,627		-	-	-
Transfer to retained earnings	-	-	-	(115,291)	115,291	-	-	-	-
Transfer of excess depreciation	-	-	(6,805)	-	6,805	-	-	-	-
Deferred tax on transfer of excess depreciation			2,041	-	(2,041)	-	-	-	-
Total comprehensive income	-	-	95,981	(115,291)	4,921,317	-	4,902,007	638,756	5,540,763
Write back of unclaimed dividends	-	-	-	-	6,090	-	6,090	-	6,090
Issue of additional shares to non controlling interests	-	-	-	-	-	-	-	123,360	123,360
Acquisition of interests from non controlling interests in Diamond Trust Bank Uganda Limited.	-	-	(61,214)	-	-	-	(61,214)	(54,437)	(115,651)
Dividends:									
- Final for 2012 paid	-	-	-	-	-	(418,190)	(418,190)	(18,989)	(437,179)
- Proposed for 2013	-	-	-	-	(462,210)	462,210	-	-	-
Total transactions with owners, recognised directly in equity	-	-	(61,214)	-	(456,120)	44,020	(473,314)	49,934	(423,380)
At end of year	880,400	3,856,898	273,758	-	15,477,589	462,210	20,950,855	2,793,449	23,744,304

**Bank statement of changes in equity
for the year ended 31 December 2012**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
At start of year	782,578	2,197,735	364,794	115,291	6,573,480	332,596	10,366,474
Profit for the year	-	-	-	-	3,068,693	-	3,068,693
Other comprehensive income	-	-	18,936	-	-	-	18,936
Transfer of excess depreciation	-	-	(8,070)	-	8,070	-	-
Deferred tax on transfer of excess depreciation	-	-	2,421	-	(2,421)	-	-
Total comprehensive income for the year	-	-	13,287	-	3,074,342	-	3,087,629
Proceeds from shares issued	97,822	1,659,163	-	-	-	-	1,756,985
Dividends:							
- Final for 2011 paid	-	-	-	-	-	(332,596)	(332,596)
- Proposed for 2012	-	-	-	-	(418,190)	418,190	-
Total transactions with owners, recognised directly in equity	97,822	1,659,163	-	-	(418,190)	85,594	1,424,389
At end of year	880,400	3,856,898	378,081	115,291	9,229,632	418,190	14,878,492

**Bank statement of changes in equity
for the year ended 31 December 2013**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
At start of year	880,400	3,856,898	378,081	115,291	9,229,632	418,190	14,878,492
Profit for the year	-	-	-	-	4,057,897	-	4,057,897
Other comprehensive income:	-	-	43,988	-	-	-	43,988
Transfer of fair value gain to retained earnings on disposal of equity investments	-	-	(44,627)	-	44,627	-	-
Transfer to retained earnings	-	-	-	(115,291)	115,291	-	-
Transfer of excess depreciation	-	-	(6,068)	-	6,068	-	-
Deferred tax on transfer of excess depreciation	-	-	1,820	-	(1,820)	-	-
Total comprehensive income	-	-	(4,887)	(115,291)	4,222,063	-	4,101,885
Write back of unclaimed dividends	-	-	-	-	6,090	-	6,090
Dividends:							
- Final for 2012 paid	-	-	-	-	-	(418,190)	(418,190)
- Proposed for 2013	-	-	-	-	(462,210)	462,210	-
Total transactions with owners, recognised directly in equity	-	-	-	-	(456,120)	44,020	(412,100)
At end of year	880,400	3,856,898	373,194	-	12,995,575	462,210	18,568,277

Statement of cash flows

For the year ended 31 December 2013

	Group		Bank	
	2013	2012	2013	2012
	Shs'000	Shs'000	Shs'000	Shs'000
Cash flows from/(used in) operating activities				
Interest receipts	16,386,102	16,190,267	11,373,289	12,246,790
Interest payments	(5,940,516)	(6,901,551)	(4,082,761)	(5,671,929)
Net fee and commission receipts	2,450,384	1,791,959	1,111,386	1,029,184
Other income received	882,906	1,265,926	831,136	852,158
Proceeds from sale of investment securities	1,097	6,518	1,097	6,518
Recoveries from loans previously written off	27,754	61,366	7,918	41,213
Payments to employees and suppliers	(5,477,858)	(4,549,858)	(3,305,201)	(2,754,154)
Income tax paid	(3,063,966)	(1,783,531)	(2,530,635)	(1,358,204)
Cash flows from operating activities before changes in operating assets and liabilities	5,265,903	6,081,096	3,406,229	4,391,576
Changes in operating assets and liabilities:				
- cash reserve requirement	1,145,012	(3,975,945)	(545,971)	(1,171,555)
- Government securities	(4,441,772)	(8,710,608)	(1,033,791)	(7,727,392)
- loans and advances to customers	(23,887,166)	(17,333,680)	(15,839,509)	(9,830,063)
- Balances due from subsidiary companies	-	-	47,046	(4,961)
- customer deposits	21,707,801	20,612,118	12,117,757	12,589,227
- other assets	176,977	(548,156)	168,088	(454,327)
- other liabilities	631,804	492,063	370,104	178,750
Net cash from/(used in) operating activities	598,559	(3,383,112)	(1,310,047)	(2,028,745)
Cash flows used in investing activities				
Purchase of property and equipment	(2,581,340)	(1,206,339)	(2,157,417)	(912,234)
Purchase of intangible assets - software costs	(469,882)	(52,635)	(311,048)	(34,291)
Purchase of shares in subsidiary/associate	-	(2,238)	(397,682)	(623,777)
Proceeds from sale of equity investment	113,802	-	113,802	-
Proceeds from sale of property and equipment	10,165	9,091	7,023	2,097
Dividend received	3,755	2,805	32,265	18,996
Net cash used in investing activities	(2,923,500)	(1,249,316)	(2,713,057)	(1,549,209)
Cash flows from financing activities				
Proceeds from long term loan	2,572,427	-	1,740,000	-
Repayment of long term loan	(627,109)	(130,925)	(627,109)	(130,925)
Finance costs	(145,292)	(122,793)	(141,717)	(120,087)
Net proceeds from rights issues	143,723	1,805,413	-	1,756,985
Dividends paid to equity holders of the bank	(418,190)	(332,596)	(418,190)	(332,596)
Dividends paid to non controlling interests	(18,989)	(15,018)	-	-
Net cash from financing activities	1,506,570	1,204,081	552,984	1,173,377
Net decrease in cash and cash equivalents	(818,371)	(3,428,347)	(3,470,120)	(2,404,577)
Cash and cash equivalents at start of year	10,461,439	14,132,900	7,332,824	9,737,401
Translation difference	(71,716)	(243,114)	-	-
	10,389,723	13,889,786	7,332,824	9,737,401
Cash and cash equivalents at end of year	9,571,352	10,461,439	3,862,704	7,332,824